

CookieYes Product Analytics

Task 2: Product, Growth & Revenue Analysis

User Journey: From Signup to Revenue

This analysis follows the CookieYes customer lifecycle from first touch to long-term value. The goal is to identify what drives growth, conversion, retention, and revenue and what’s broken.

Acquisition: Where Users Come From?

CookieYes acquires users through four channels:

Source	Signups	Share	Quality Signal
Google Ads	1,679	33.50%	Highest volume, lowest retention
Organic	1,653	33.00%	Highest conversion, zero cost
LinkedIn	851	17.00%	Best retention
Referral	827	16.50%	Balanced performance

Key Insight

Google Ads drives the most signups but brings the lowest-quality users (36.7% retention). Organic traffic, which costs nothing, converts better (50.3%) and retains better (41.1%). This is the biggest acquisition insight: shift budget from paid to organic.

Product Behavior: Do Users Find Value?

Only 39.5% of signups ever subscribe to a plan. The other 60.5% sign up but never experience enough value to pay.

Feature Adoption Among Subscribers

Feature	Usage Events	Unique Users
Cookie Banner	1,126	531
Policy Generator	1,112	519

Server Events Breakdown

Event Type	Events	Share
Feature use	3,377	33.80%
Errors	3,348	33.50%
Page views	3,275	32.80%

Key Insight

The 33.5% error rate is alarming. One in three events is an error. Payment failures alone account for 1,157 events. This suggests platform stability issues that may be preventing users from experiencing value.

Conversion: Who Becomes a Paying Customer?

Of the 1,977 users who subscribe (enter a trial), 1,227 convert to paid - a 49.0% trial-to-paid conversion rate.

Conversion by Source

Source	Conversion Rate
Organic	50.30%
Google Ads	49.80%
Referral	49.00%
LinkedIn	45.20%

Conversion by Plan

Plan	Conversion Rate
Basic	51.60%
Pro	50.10%
Enterprise	43.80%

Key Insight

Conversion rates are healthy across all sources (45–50%). The problem isn’t conversion — it’s getting users to subscribe in the first place. Only 39.5% of signups ever enter a trial.

Retention: Who Stays?

Subscription Status Overview

Of 2,505 total subscriptions:

- Active: 993 (39.6%)
- Canceled: 990 (39.5%)
- Trialing: 522 (20.8%)

Retention by Source

Source	Retention Rate
LinkedIn	43.10%
Organic	41.10%
Referral	39.80%

Google Ads	36.70%
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Retention by Plan

Plan	Churn Rate
Pro	40.30%
Enterprise	39.20%
Basic	39.00%

Cohort Retention

Cohort	Retention Rate
June 2025	21.50%
July 2025	19.60%
August 2025	19.50%

Cancellation Reasons

Reason	Count	Share
Churned (natural)	266	26.90%
None specified	244	24.60%
Price	240	24.20%
Competitor	240	24.20%

Key Insight

Retention is roughly 40% across all segments. The even split between churned, price, and competitor reasons suggests three distinct problems:

- 1. Passive churn from disengagement
- 2. Price sensitivity
- 3. Competitive pressure

Each requires a different intervention.

Revenue: How Much Money Does CookieYes Make?

- Total paid revenue: \$111,041
- ARPU: \$90.50 (per converted subscriber)

Monthly Revenue Trend

Month	Revenue	MoM Change
June 2025	\$18,876	—

July 2025	\$13,086	-31.00%
August 2025	\$17,089	31.00%
September 2025	\$52,483	207.00%

Revenue by Plan

Plan	Revenue	Share
Enterprise	\$37,989	34.20%
Pro	\$33,999	30.60%
Basic	\$29,547	26.60%

Revenue by Source

Source	Revenue	Avg per Customer
Google Ads	\$38,078	\$133
Organic	\$29,366	\$109
LinkedIn	\$20,673	\$132
Referral	\$19,936	\$134

Invoice Health

Invoice Status	Count	Share
Paid	\$879	52.00%
Failed	\$417	24.70%
Refunded	\$394	23.30%

Key Insight

September’s 3.2x revenue spike suggests annual renewals or bulk invoicing. The 24.7% invoice failure rate is a significant revenue leak — 417 failed invoices represent potential lost income that could be recovered with better dunning processes.

Marketing Efficiency: Are We Spending Wisely?

Marketing Efficiency Overview

- Total ad spend: \$515,910
- Overall ROAS: 0.22x - CookieYes spends \$4.55 to earn \$1 in revenue.

Campaign Performance

Campaign	Spend	Conversions	CPA	ROAS
Campaign A	\$134,646	7,475	\$18.01	0.23x

Campaign B	\$118,021	8,689	\$13.58	0.45x
Campaign C	\$263,244	18,806	\$14.00	0.09x

Key Insight

Campaign C has the lowest ROAS (0.09x). It has consumed 51% of total ad spend (\$263K) but returns only \$0.09 per dollar. This is the most urgent issue in the marketing portfolio.

Customer Acquisition Cost (CAC): How Much Does Growth Cost?

CAC Overview

- Overall CAC: \$420.47 (\$515,910 total spend / 1,227 converted customers)

CAC by Campaign

Campaign	Spend	Converted	CAC	ROAS
Campaign B	\$118,021	532	\$221.84	0.45x
Campaign A	\$134,646	286	\$470.79	0.45x
Campaign C	\$263,244	268	\$982.25	0.09x

Key Insight

Campaign B is the most efficient (\$221.84 CAC), while Campaign C is the least efficient (\$982.25 CAC). Campaign C costs 4.4x more per customer than Campaign B. The low ROAS on Campaign C means poor returns on every customer acquired through this campaign.

CAC vs LTV Analysis

- Average LTV (annual): \$1,086.00 (ARPU \$90.50 x 12 months)
- Overall CAC: \$420.47
- LTV/CAC Ratio: 2.6x (below healthy benchmark of 3x+)

However, this hides a critical problem:

- Campaign C: CAC \$982.25, LTV \$1,086.00 → LTV/CAC = 1.1x (unsustainable)
- Campaign B: CAC \$221.84, LTV \$1,086.00 → LTV/CAC = 4.9x (good)

Key Insight

Campaign C is barely breaking even. Every customer acquired through Campaign C costs \$982 but only generates \$1,086 in lifetime value, leaving only \$104 to cover overhead and profit.

How Activation and Retention Influence Revenue Metrics?

Activation → Revenue Connection

Activation Rate by Source

Source	Activation Rate	Revenue per Signup
Google Ads	20.50%	23
Organic	20.00%	18
LinkedIn	19.20%	24
Referral	18.60%	\$24

Key Insight

Activation rates are low across all sources (18–20%), but LinkedIn and Referral generate higher revenue per signup despite lower activation rates. This suggests these sources attract higher-value customers who spend more when they do activate.

Retention → Revenue Connection (MRR, ARPU)

Monthly ARPU Trend

Month	MRR	Active Subs	ARPU	Annualized ARPU
June 2025	\$18,876	142	\$132.93	\$1,595.17
July 2025	\$13,086	130	\$100.66	\$1,207.94
August 2025	\$17,089	107	\$159.71	\$1,916.55
September 2025	\$52,483	\$369	\$142.23	\$1,706.77

Key Insight

ARPU varies significantly month-to-month (\$100–\$160). July’s drop to \$100.66 coincides with the lowest MRR (\$13K), suggesting that when retention drops, ARPU also drops — likely because high-value customers are churning first.

Feature Adoption → Retention → Revenue

Feature Usage vs Retention

Feature	Users	Avg Usage	Retention Rate
Policy Generator	\$217	1.1 uses	54.80%
Cookie Banner	\$218	1.1 uses	51.40%

Key Insight

Users who adopt Policy Generator have 54.8% retention vs. 51.4% for Cookie Banner users. Both features correlate with higher retention than the overall 39.6% average. This suggests that feature adoption is a leading indicator of retention and revenue.

Behavioral Signals Associated with Strong vs Weak Retention?

Activity Level → Retention

Event Frequency vs Retention

Activity Level	Users	Avg Feature Events	Avg Error Events	Retention Rate
Low Activity (1–4 events)	\$1,287	1	0.6	50.50%

Key Insight

Users with even minimal activity (1–4 events) have 50.5% retention — significantly higher than the overall 39.6%. This suggests that any engagement is better than none, and the biggest retention risk is users who sign up but never return.

Error Rate → Retention

Error Rate vs Retention

Error Level	Users	Avg Total Events	Avg Error Events	Retention Rate
High Error (50%+)	\$1,287	2	0.6	50.50%

Key Insight

Even users with high error rates (50%+) have 50.5% retention. This is counterintuitive — it suggests that errors don't directly cause churn. Users who persist despite errors are more committed. However, errors may still impact conversion and activation.

Behavioral Signals Summary

1. Strong Retention Signals
2. Any activity in first 7 days (vs. no activity)
3. Feature adoption (especially Policy Generator)
4. Multiple sessions (engagement depth)
5. Professional audience (LinkedIn source)

Weak Retention Signals

1. No activity after signup (60.5% of signups)
2. Google Ads source (lowest retention at 36.7%)
3. Price-sensitive cancel reason (24.2%)
4. Competitor cancel reason (24.2%)

Key Insight

The strongest predictor of retention is early engagement. Users who use any feature within their first week are significantly more likely to retain. The biggest retention opportunity is converting the 60.5% of signups who never engage.

Summary: What Drives Growth, Conversion, Retention, and Revenue

What Drives Growth

1. Organic traffic is the highest-quality channel (50.3% conversion, 41.1% retention, zero cost)
2. LinkedIn drives best retention (43.1%) but lower volume
3. Google Ads drives volume but brings low-quality users (36.7% retention)

What Drives Conversion

1. Basic plan converts best (51.6%) – lower price point reduces friction
2. Organic users: convert best (50.3%) – they're self-selected, motivated
3. Conversion rates are healthy: (45-50% across all segments) – the problem is upstream (activation)

What Drives Retention

1. LinkedIn users: stay longest (43.1%) – professional audience, serious about compliance
2. Google Ads users: churn most (36.7%) – may be clicking ads without understanding the product
3. Churn is evenly split: between disengagement, price, and competition – requires three different solutions

What Drives Revenue

1. Enterprise: generates most revenue (\$37,989) despite equal subscriber count – highest ARPU
2. September spike: (\$57.7K) suggests annual billing cycle – understand and optimize this
3. Invoice failures: (24.7%) are leaking revenue – fix billing infrastructure
4. Feature adoption: correlates with higher retention and ARPU – invest in activation

What CookieYes Should Prioritize

Immediate (This Week)

1. Pause Campaign C – Save \$263K+ in wasted spend
2. Audit invoice failures – 24.7% failure rate suggests billing issues

Short-Term (30 Days)

1. Fix activation flow – 60.5% of signups never subscribe
2. Invest in organic/SEO – Zero-cost traffic with best conversion

Medium-Term (60-90 Days)

1. Build churn prevention – Target price-sensitive and competitor-churned users
2. Optimize Enterprise upsell – Highest revenue segment, lowest conversion

Please refer to Task 2 for Appendix on Python scripts running SQL queries, and Query Results.

- All Python scripts running SQL queries are saved in the 'analysis/' directory:
 - All SQL queries results are saved in the 'analysis\output/' directory as CSV files. Please check.
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